MARKETBEAT PHOENIX
MULTIFAMILY Q2 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
6.9% Vacancy Rate	▲	▲
4.7K Net Absorption, units	▼	—
$1,615 Effective Rent, PSF	▼	—

(Overall, All Property Classes)

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.6% Phoenix Unemployment Rate	▲	▲
1.7% Phoenix Household Growth Rate	▼	▲

Source: BLS

ECONOMY: STEADY GROWTH AMIDST RISING UNEMPLOYMENT

In Q2 2025, the Phoenix Metro reported an employment level of 2.5 million jobs, while the unemployment rate rose from 3.0% in Q2 2024 to 3.6%. Despite the uptick, the Valley's unemployment rate remained well below the national average of 4.2%, ranking as the fourth-lowest among major U.S. cities with employment exceeding 2.0 million jobs. Population growth persisted, though at a slower pace than in prior quarters, registering a 1.6% year-over-year (YOY) increase. Strong wage gains continued to draw job seekers into the labor force, with the median household income rising 3.6% YOY to $91,000. Meanwhile, the Consumer Price Index for the Phoenix area rose only 0.3% YOY, according to the Bureau of Labor Statistics.

SUPPLY & DEMAND: STRONG DEMAND LIMITS IMPACT OF NEW SUPPLY

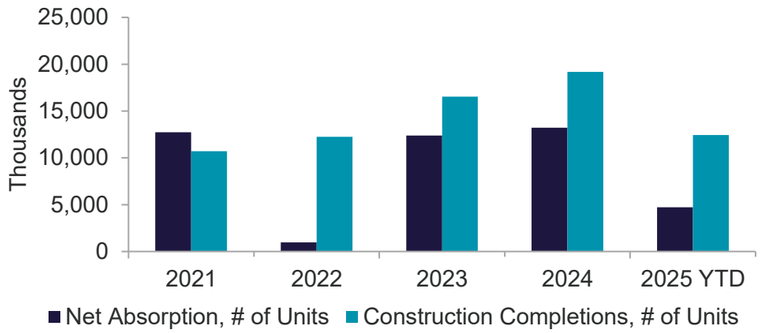
Strong levels of rental demand persisted across the Phoenix Metro in Q2 2025, helping to stabilize overall multifamily market fundamentals. Vacancy ticked up by 20 basis points year-over-year (YOY) to 6.9%, representing a modest increase given the rapid pace of new supply additions. Net absorption remained positive for the tenth consecutive quarter, bringing the year-to-date (YTD) total to 4,725 units. The Northeast Valley, Mesa and Chandler/Gilbert/Queen Creek submarkets have led the Metro's multifamily demand so far this year, posting YTD net absorption of 1,193 units, 781 units and 659 units, respectively.

Multifamily deliveries continued to accelerate through the first half of 2025, with the completion of 12,443 units representing a 40% increase over 1H 2024. Deliveries were widespread, as six out of the 11 Phoenix multifamily submarkets received over 1,000 new apartment units. The submarkets with the highest levels of new supply additions included Glendale/West Valley (2,784 units), Northwest Valley (1,834 units) and Northeast Valley (1,664 units).

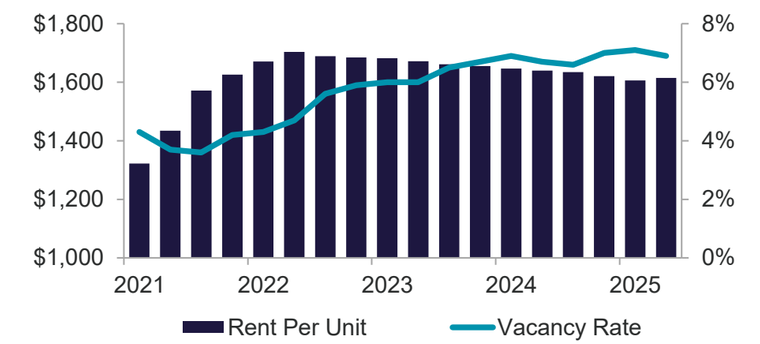
PRICING: POSITIVE RENT GROWTH MOMENTUM RETURNS

The Metro's average effective multifamily rent ticked up for the first time in three years, improving by 0.5% quarter-over-quarter to $1,615 per unit in Q2 2025. Despite this gain, the average rent remains -1.5% lower YOY. A positive sign for future rent growth is that concessions are continuing to become less common, with 17% of properties offering some form of rent discount as of June 2025, down from 21% a year earlier.

DEMAND / DELIVERIES



OVERALL VACANCY & EFFECTIVE RENT



Source: Yardi Matrix

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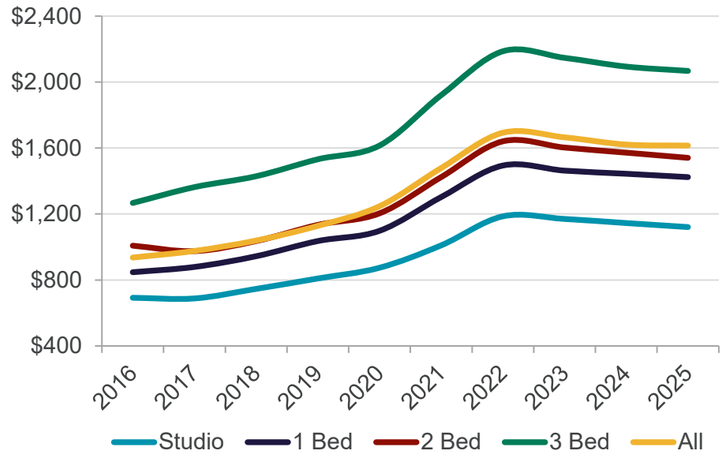
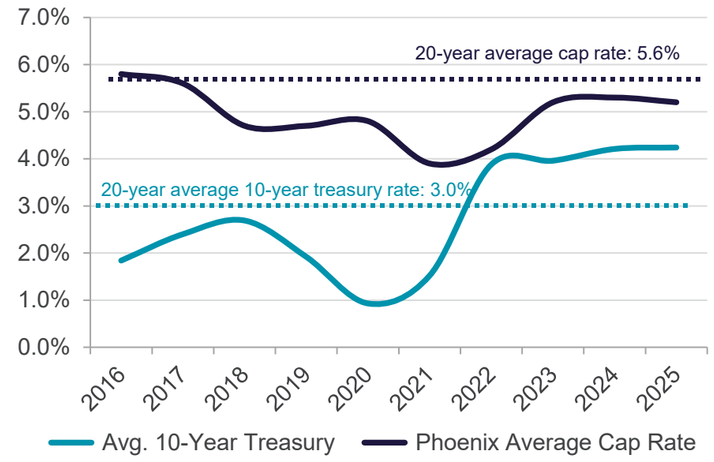
AVERAGE RENT PER UNIT HISTORY (1)

ALL UNIT TYPES HAVE RECORDED RATE REDUCTIONS SINCE 2023. ON AVERAGE, PRICES HAVE DECREASED 3.0% IN TWO YEARS.



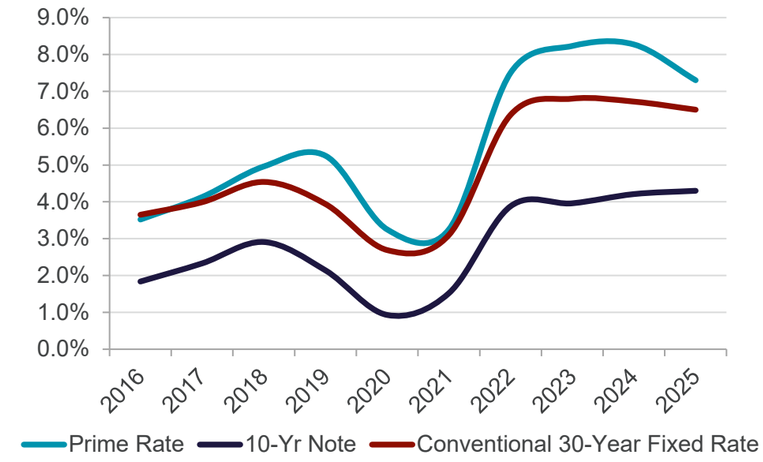
AVERAGE CAP RATE (2)

THE 10-YEAR U.S. TREASURY RATE IS ABOVE THE HISTORICAL AVERAGE OF 3.0% AND THE METRO PHOENIX CAP RATE IS BELOW THE HISTORICAL AVERAGE OF 5.6%



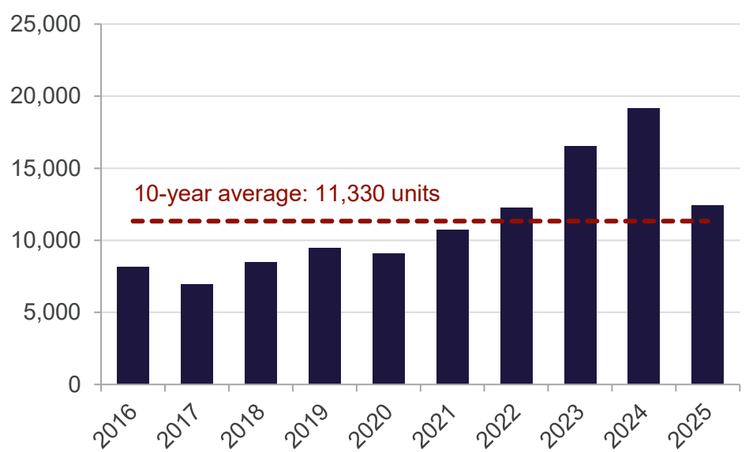
INTEREST RATES (3)

FEDERAL FUNDS TARGET RATE FORECASTED TO EASE BY 100 BASIS POINTS THROUGHOUT 2025



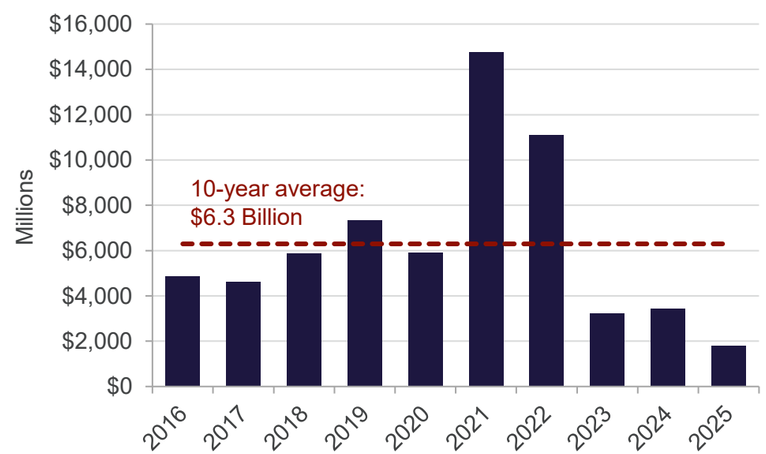
NEW INVENTORY (4)

TOTAL NUMBER OF NEW INVENTORY UNITS COMPLETED IN 1H 2025 IS 110% OF THE 10-YEAR ANNUAL AVERAGE OF 11,330 UNITS



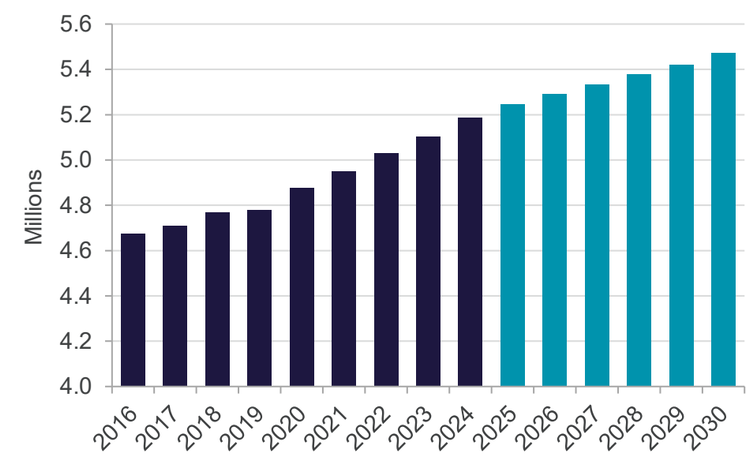
SALES TRANSACTION VOLUME (5)

TOTAL TRANSACTION VOLUME OF 32 PROPERTIES IN 1H 2025 IS 29% OF THE 10-YEAR ANNUAL AVERAGE OF $6.3 BILLION



POPULATION (6)

POPULATION IS PROJECTED TO GROW SIGNIFICANTLY THROUGH 2030



(1) Yardi Matrix, Cushman & Wakefield
(2) Yardi Matrix, Federal Reserve Board, Cushman & Wakefield
(3) Federal Reserve Board, Wells Fargo
(4) Yardi Matrix
(5) Yardi Matrix
(6) Moody's & U.S. Census Bureau

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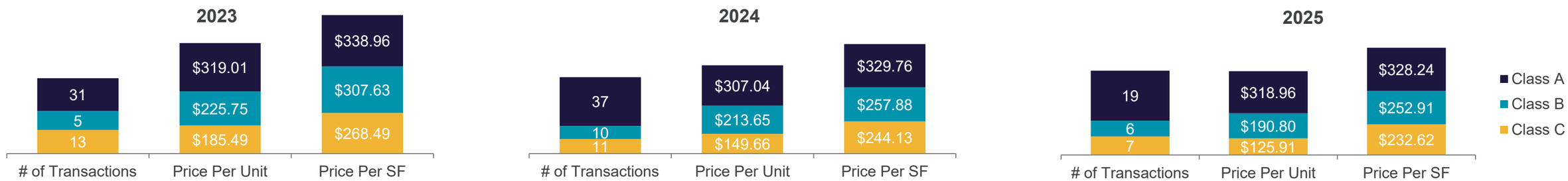
MARKET STATISTICS

SUBMARKET	INVENTORY (UNITS)	YTD DELIVERIES (UNITS)	YTD % INVENTORY GROWTH	UNDER CNSTR (UNITS)	YTD NET ABSORPTION (UNITS)	VACANCY RATE	YOY VACANCY RATE CHANGE (BPS)	AVG EFFECTIVE RENT / UNIT	YOY % EFFECTIVE RENT GROWTH
Ahwatukee	13,562	782	9.7%	626	193	6.1%	10	$1,639	-0.2%
Central Phoenix	34,337	675	3.1%	5,023	609	7.7%	100	$1,590	-1.7%
Chandler/Gilbert/Queen Creek	42,153	1,309	3.4%	5,697	659	6.2%	40	$1,734	-2.3%
East Phoenix	19,205	-	0.0%	320	-38	7.3%	-20	$1,496	0.0%
Glendale/West Valley	31,883	2,784	10.8%	5,267	301	7.4%	-10	$1,491	-0.2%
Mesa	43,033	1,086	3.3%	3,828	781	7.1%	70	$1,488	-0.4%
Northeast Valley	34,623	1,664	5.3%	5,831	1,193	6.3%	40	$1,756	-1.2%
Northwest Valley	42,766	1,834	4.7%	2,281	654	7.4%	40	$1,498	-1.7%
Scottsdale	28,399	574	2.3%	1,185	202	6.0%	60	$1,978	-0.1%
Tempe	37,679	187	0.8%	3,148	449	6.2%	-40	$1,818	-4.0%
West Phoenix	43,335	1,548	4.9%	3,498	-278	7.7%	-70	$1,367	-0.9%
MARKET	**370,975**	**12,443**	**4.1%**	**36,704**	**4,725**	**6.9%**	**20**	**$1,615**	**-1.5%**



KEY SALE TRANSACTIONS Q2 2025

PROPERTY	SUBMARKET	SELLER/BUYER	Units	PRICE / $ PER UNIT
Zaterra Luxury Apartments	Chandler/Gilbert/Queen Creek	P.B. Bell / ARES Management	392	$137.5M / $350,765
Calista	Northeast Valley	Greystar / Knightvest Residential	412	$119.0M / $288,835
Redstone at SanTan Village	Chandler/Gilbert/Queen Creek	Blackstone Inc. / Mesirow	382	$118.5M / $310,209
Soltra Kierland	Northeast Valley	Leon Capital Group / Ahmad Abdelaziz	202	$107.5M / $532,178
The Core Scottsdale	Scottsdale	Starlight Investments / MC Companies	282	$97.5M / $345,745
Finisterra	Tempe	Blackstone Inc. / Kennedy-Wilson Holdings	356	$96.0M / $269,663
Bella Encanta	Mesa	Bela Flor / J.P. Morgan	212	$95.8M / $451,651
TGM Ocotillo Bay	Chandler/Gilbert/Queen Creek	Acacia Capital / TGM Associates	296	$90.5M / $305,743

Source: Yardi Matrix

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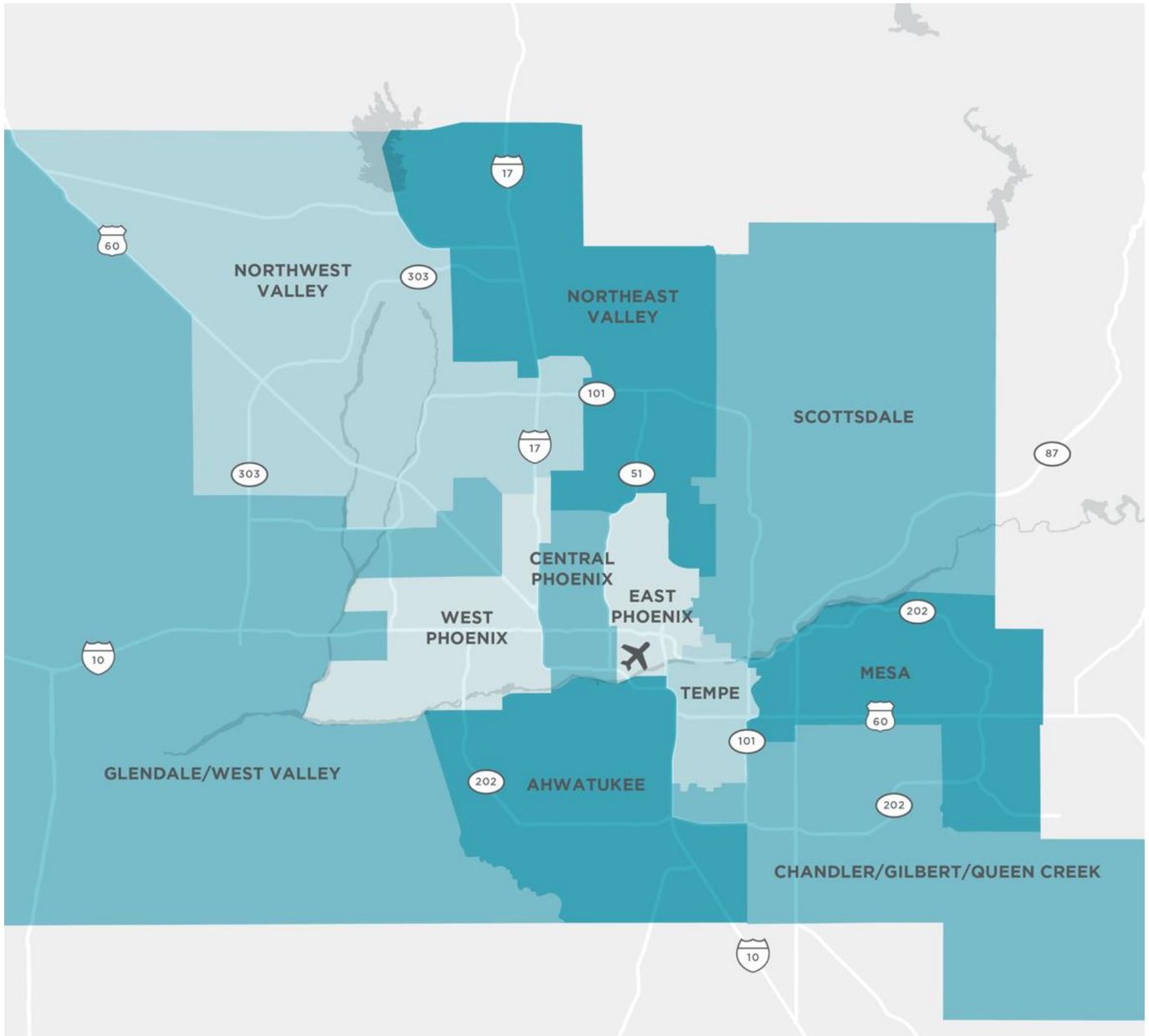
MULTIFAMILY SUBMARKETS



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